SECTION 4: MONEY AND BANKING (I)

4.1 MONEY: NATURE AND FUNCTIONS

MARKING SCHEME

1990/CE/II/29 A	1993/CE/II/31 C	1996/CE/II/38 C	2004/CE/II/35 A (75%)	2008/CE/II/36 D (30%)
1990/CE/II/30 C	1993/CE/II/58 C	1997/CE/II/32 B	2004/CE/II/36 B (87%)	2009/CE/II/35 C (72%)
1990/CE/II/40 D	1994/CE/II/41 B	1997/CE/II/38 B (deleted)	2004/CE/II/40 B (49%)	2009/CE/II/36 C (74%)
1990/CE/II/41 C	1994/CE/II/44 C	1997/CE/II/39 D	2005/CE/II/35 C (79%)	2010/CE/II/34 B (85%)
1990/CE/II/58 A	1995/CE/II/38 D	1998/CE/II/32 D	2006/CE/II/33 B (67%)	2010/CE/II/37 D (67%)
1991/CE/II/29 A	1995/CE/II/39 A	1999/CE/II/35 D	2006/CE/II/34 A (60%)	2015/DSE/I/35 C (78%)
1992/CE/II/33 B	1995/CE/II/40 B	2001/CE/II/48 D	2007/CE/II/35 B (83%)	2016/DSE/I/30 C (74%)
1992/CE/II/57 D	1995/CE/II/50 C	2002/CE/II/34 C (82%)	2008/CE/II/34 C (84%)	2019/DSE/I/30 D
1992/CE/II/59 C	1996/CE/II/34 C	2003/CE/II/50 C (43%)	2008/CE/II/35 B (96%)	2021/DSE/I/30 A
2024/DSE/II/31 C	**2025/DSE/I/31** D			

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1991/CE/I/5(a)
- a medium of exchange
- a store of value
- a standard of deferred payment
- a unit of account (1@, max: 3)

[Mark the **FIRST THREE** functions only.]

1993/CE/I/3(d)(ii)

(I) It is not (generally) accepted in exchange. (2)

(II) It cannot provide (or store up the) purchasing power for future use.

OR

It cannot be readily converted into money. (2)

1994/CE/I/6

It is **NOT** a standard of deferred payment, because it is (2)

not a commonly accepted medium of exchange (2)

not of homogeneous quality (2)

OR

It is **NOT** a store of value, because it is (2)

not a commonly accepted medium of exchange (2)

not durable / unstable value (2)

OR

It is **NOT** a unit of account, because it is (2)

not a commonly accepted medium of exchange (2)

exchange ratio arbitrary (2)

1995/CE/10(b)(i)
Medium of exchange (2)
OR
Means of payment (2)

1996/CE/I/8
Store of value - less purchasing power of the same amount of money
Standard of deferred payment - the real value of money decrease / creditors prefer immediate cash to post-dated cheques
Medium of exchange - the real value of money decreases / the general acceptability of money is adversely affected (in times of a hyperinflation) (2@, max : 4)
[Mark the **FIRST TWO** points only.]

1997/CE/I/4
(a) (Disagree.)
Salt is used as money, because (1)
it is generally accepted as the medium of exchange.(2) (max : 2)
(Remark: Mere mention of the definition of money without saying disagree or giving any other elaboration - No mark.)

(b) - uneasy to maintain a stable quality (loss in value, storage cost)
- may be bulky to carry around a large amount of salt
- may not be scarce enough (cannot control the money supply)
- different kinds of salt may not have uniform quality (2@, max : 4)
[Mark the **FIRST TWO** points only.]

1998/CE/I/6
Wrong.
Money still exists because a generally accepted medium of exchange is still needed. (3)
It may be in other forms such as electronic money. (1)

1999/CE/I/11(d)
Unit of account - (1)
it is not a unit of account because the prices of other goods are not expressed in terms of Octopus cards. (1)

Standard of deferred payment - (1)
it is not a standard of deferred payment because future payment is not denominated in terms of Octopus cards. (1)

2000/CE/I/5
Money is a generally accepted medium of exchange. (2)

(The problem of exchange in the case is the need to search for double coincidence of wants / the act of buying and the act of selling cannot be separated.)

If money is used as a medium of exchange, A can pay money to buy B's vegetables without selling his bananas to B. B can also pay money to buy wood from someone other than A. With money, exchange can take place even if there is no double coincidence of wants / act of buying and the act of selling can be separated. (2)

2001/CE/I/5
(On divisibility)
Banknotes can be divided into different denominations without a change in value.
Diamond if divided into smaller units will have a fall in total value.

(On homogeneity)
Banknotes with the same face value issued by the same bank share uniform physical characteristics ⟹ homogeneous in value
Diamonds do not have uniform physical characteristics ⟹ heterogeneous n value

(On homogeneity)
The value of a banknote is more easily recognized (because of uniform physical characteristics).
The value of a diamond is not easily recognized (because diamonds do not have uniform physical characteristics).
(2@, max : 4)

2002/CE/I/11(c)
No because (1)
they are not generally accepted as a medium of exchange. (1)
not generally accepted because they cannot be used to buy other goods and services. (1)

2003/CE/I/7
(a) Medium of exchange (1)
Unit of account (1)
[Mark the **FIRST TWO** points only.]

(b) Store of value - (1)
people can store up the purchasing power for future spending on goods and services. (1)
Standard of deferred payment - (1)
future payment is denominated in terms of money. (1)
[Mark the **FIRST TWO** points only.]

2004/CE/I/9(b)
Store of value / store of wealth, because (1)
the purchasing power / real value of cash continues to decrease in times of inflation (but continues to increase in times of deflation). (2)

2004/CE/I/11(c)(ii)
Not generally accepted, because (1)
these coupons cannot be used to buy things in other shops. (1)

2005/CE/I/4
Medium of exchange -
money serves as a medium to facilitate people's buying and selling of goods and services.
Unit of account -
money is used to express the prices and value of goods and services.
Store of value -
people can store up the purchasing power for future spending on goods and services.
Standard of deferred payment -
future payment is expressed in terms of money.
[Mark the **FIRST TWO** points only.] [(1 + 1)@, max: 4]

2006/CE/I/7
(1) unit of account (1)
(2) medium of exchange / means of payment (1)
(3) store of value (1)

2007/CE/I/6
- Accept payment: medium of exchange / means of payment (1)
- HK$ deposit: store of value / store of wealth (1)

[Mark the **FIRST TWO** points only]

Medium of exchange:
the Hong Kong dollar serves as a medium to facilitate people's buying and selling of goods and services in these shops in Macau. (1)

Store of value:
Hong Kong dollar deposits enable people to store up the purchasing power for future spending on goods and services. (1)

2009/CE/I/9(d)

(i) Medium of exchange (1)
Unit of account (1)
[Mark the **FIRST TWO** points only]

(ii) Not a medium of exchange because
these book coupons are not generally accepted by other shops in buying goods and services (1)
Not a unit of account because
the prices of other goods are not expressed in terms of these book coupons (1)

2010/CE/I/5

(a) Money is defined as <u>a generally accepted medium of exchange</u>. (2)

(b) (Not generally acceptable)
Pearls are not generally acceptable as a medium of exchange in trading of goods and services.
(Not divisible)
Pearls if divided into smaller units will have a fall in total value.
(Not homogeneous)
Pearls do not have uniform physical characteristics ⇒ Heterogeneous in value / The value of a pearl is not easily recognized. (2@, max: 4)

2012/DSE/II/7
- Gold is more durable while cigarettes may lose their value during transaction.
- Gold is more generally accepted as medium of exchange than cigarettes.
- Gold is more homogenous while cigarettes have different qualities. (2@, max: 4)

[Mark the **FIRST TWO** points only.]

2017/DSE/II/5

Store of value:
As the value of the local currency drops in terms of foreign currency, its purchasing power in terms of the quantity of foreign goods and services would also fall.

Standard of deferred payment:
As the value of the currency becomes highly volatile, the contracting cost of specifying future payments in terms of this currency would increase.

Medium of exchange:
Some multinational firms may refuse to accept the currency if its value fluctuates too much. (2@, max: 4)

[Mark the **FIRST TWO** functions only.]

2018/DSE/II/12(b)

Unit of account: The price of the hotel accommodation service is expressed in terms of RMB. (2)

Medium of exchange: RMB serves as a medium to facilitate people's buying and selling of services in the website. (2)

[Mark the **FIRST TWO** points only.]

2020/DSE/II/5b

b) During inflation , the real value / purchasing power will decrease of the coupon.

Or

The coupon is not generally acceptable as medium of exchange.

2021/DSE/II/7

Marks

Reasons:

- Not durable, as cigarettes can be easily damaged and cannot be stored for a long time.
- Not homogeneous, as cigarettes do not have uniform physical characteristics.
- Not portable, as people need to carry a large quantity of cigarettes for high-value transactions
- Not divisible, as cigarettes if divided into smaller units would have a fall in total value
- Any other relevant point

[Mark the **FIRST TWO** points only.]

@2 Max: 4

2022/DSE/II/11d

(d) Reasons:

Consumption vouchers are not generally accepted as medium of exchange, as they Cannot be used in those shops which have not installed the (SVFs)system. (2)

Consumption vouchers are not a good store of value, as their values would drop to zero once the deadlines for using the vouchers have passed. (2)

[Mark the FIRST TWO points only.]

2024/DSE/II/6

(a) The lack of double coincidence of wants. (1)

(b) (i) Money is anything that is generally accepted as a medium of exchange. (1)

(ii) The use of money allows the acts of buying and selling to be separated, so that exchange no longer requires double coincidence of wants. For example, Villager A may sell his beans for money and use the money to purchase pork from Villager B (who can in turn use the money to buy rice from someone else). (2)